



SSODL

Centre for Distance and Online Education

Synopsis of capstone project

A project on

A Study on Customer Churn and Retention Strategies in UPI-Based Digital Payment Platforms in India

Submitted by: Madhavi Srivastava

PRN Number: 2402914103400

Under the guidance of

Dr. Shradha Gupta

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Introduction

Over the last few years, digital payments have become a part of everyday life in India

The introduction of Unified Payments Interface UPI has made money transfers faster, easier, and more convenient for users today applications such as PhonePe, Google Pay, Paytm, and BHIM are widely used for making payments, transferring money, paying utility bills, and online shopping as the number of users of digital payment applications continues to increase, competition among service providers has also become stronger customers now have multiple options to choose from and can switch between platforms whenever they find a better experience, more rewards, or improved services So, retaining existing customers has become as important as acquiring new customers. Customer churn refers to the situation where users stop using a particular platform or significantly reduce their usage

High customer churn can affect transaction volume, customer loyalty, and the overall growth of digital banking platforms So, it is important to understand the reasons behind customer churn and identify suitable strategies that can improve customer retention this study aims to examine the factors responsible for customer churn in UPI-based digital banking platforms and suggest practical retention strategies that can help companies improve customer satisfaction and long-term engagement.

Contextual Background

UPI has changed the way people make payments in India apps like Google Pay, PhonePe, and Paytm are widely used for daily transactions as many similar apps are available, customers can easily switch from one platform to another understanding why customers leave a platform is important for improving customer satisfaction and retention.

Problem Statement

UPI transactions in India have grown rapidly and created many opportunities for digital payment platforms However, users often switch between apps because of cashback offers, ease of use, security, and service quality as a result platforms face challenges in keeping customers loyal and active if companies fail to retain customers, they may face lower transaction activity and higher costs so it is important to understand the reasons for customer churn and find ways to keep customers using the same UPI platform.

Objectives of the Study

1. To understand how customers use UPI-based digital payment apps
2. To identify the main reasons for customer churn
3. To study the impact of service quality, security, rewards, and user experience on customer retention
4. To understand customer preferences for digital payment apps

5. To suggest ways to improve customer loyalty and retention

Need for the Study

The digital payments sector in India is growing rapidly with increasing competition among UPI service providers, understanding customer behavior has become important for business growth this study will help identify the reasons why customers stop using a particular platform and what factors influence their decision to continue using it the findings may help digital payment companies improve their services and design better customer retention programs.

Scope of the Study

This study focuses on customers who use UPI payment apps in India it will examine customer usage, satisfaction, reasons for switching apps, and factors that influence customer loyalty the study will collect responses from different users to understand their preferences and expectations the findings may help digital payment companies improve their services and retain customers.

RESEARCH METHODOLOGY

Research Design

Project is based on descriptive and analytical research methods

Sources of Data

Study will use both primary and secondary data

Primary Data

Primary data will be collected through online survey questionnaires using Google Forms.

Secondary Data

Secondary data will be collected from:

- Research papers
- RBI reports
- Journals and articles
- NPCI reports and statistics
- Fintech and digital payment websites such as Google Pay and PhonePe

Sample Size

Around 100-150 respondent will take part in this survey

Sampling Technique

Convenience sampling will be used to collect responses

Analytics Framework

Data collection and preparation

Survey responses will be collected using Google Forms

The data will be cleaned organized and prepared in MS Excel before analysis

Descriptive analysis

The basic details of the respondents will be studied

Frequency and percentage analysis will be used to understand customer preferences and UPI usage patterns

Customer satisfaction analysis

Customer satisfaction will be measured based on security ease of use transaction speed and service quality

Customer retention and churn analysis

The factors affecting customer loyalty and switching to other UPI apps will be identified

The study will also examine why customers continue to use or stop using a particular UPI application

Comparative analysis

Different UPI applications will be compared based on customer satisfaction features and user experience

Data visualization and reporting

Charts graphs and dashboards will be created using Python and Power BI to present the results clearly

Tools used

MS Excel – Data cleaning and preparation

SQL – Data management and analysis

Python – Data analysis and visualization

Power BI – Dashboard creation and reporting

Google Forms – Survey data collection

SURVEY QUESTIONNAIRE AREAS

Section A – Demographic information

Age group

Occupation

Gender

Section B – Usage pattern

Most used UPI application

How often the UPI app is used

Level of satisfaction with the app

Section C – Customer churn factors

Reasons for changing UPI applications

Technical problems faced by users

Security related concerns

Better offers cashback or rewards from other apps

Section D – Retention and loyalty

Factors that encourage customers to stay with a UPI app

Effect of cashback and reward programs on customer loyalty

Customer expectations and suggested improvements

Expected Outcomes of the Study

The study will help identify the main reasons why customers stop using a UPI app. It will also provide insights into customer satisfaction, loyalty, and preferences. Based on the findings, suggestions will be given to improve customer retention and user experience.

Proposed Time Frame

- Topic Selection and Approval
- Literature Review
- Questionnaire Preparation
- Data Collection
- Data Analysis
- Report Writing
- Final Submission

References

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